

General Guidance

- Overall expectations:**
- Submission of a realistic budget (no best and no worst case scenario)
 - No cost increase (except from inflation) unless a clear business impact is shown (e.g. OI growth)
 - Any extraordinary event / obligations not following that guidance (leading to an SG&A increase) should be explained

Order Income, Turnover & Gross profit

- Div1:**
- Reflection of additional OI/ turnover growth, if you consider new on top hires
 - Use existing FinSal rates for Gross Profit calculation. Please double check if your divisional profit margin is in transfer price compliant corridor.
 - Please inform and align with Sabine Wang (5CO2) if you need to change FinSal rates or flooring amount compared to the current settings.
 - Turnover/ Gross Profit for Demo on realistic level
- Div8:**
- Considering pre-discussed target and/or measures IF that has been done with your MD, regional Mgmt. together with Div8
 - Use existing FinSal rates for Gross Profit calculation. Please double check if your divisional profit margin is in transfer price compliant corridor.
 - Please inform and align with Sabine Wang (5CO2) if you need to change FinSal rates or flooring amount compared to the current settings.
 - Do not consider Commission/ Remuneration sharing for new FinSal Orders in Budget and highlight any potential Commission/ Remuneration of older Orders in a separate note
 - Support your Budget TO-planning with Projects / Opportunities. New GTE tool or excel template will be used.
 - Use RSM Turnover Estimation as input for your Budget planning

SG&A

- Personnel costs:**
- salaries of existing staff shall increase according to realistic specific market/ inflation conditions
 - New hires/ replacement to be considered with realistic month attendance time (e.g. 6 month = half annual HR costs to be budgeted) and be approved for budget purposes (IF pre-aligned with your Regional Mgmt. and Div1/8/Service responsible).
- Travel & Entertainment, Advertising and other operating expenses:**
- No cost increase (except from inflation) unless a clear business impact is shown (e.g. OI growth)
 - Any extraordinary event / obligations not following that guidance (leading to an SG&A increase) should be explained
 - IT-cost from RSM will stay on the same level as BY25/26
- One-time effects:**
- Please explain material one-time effects which happened in BY25/26 resp will come in BY26/27